

minister

PROPOSED APPLICATION TO UNITED STATES
FOR ASSISTANCE IN MEETING COSTS OF (Atomic Energy)
RESEARCH REACTOR IN WESTERN PROVINCE

In 1955, President Eisenhower announced his "Atoms for Peace" programme, which provided inter alia for financial grants by the United States to assist certain countries to build research reactors. Grants were to be limited to half the cost of the reactor concerned and were not to exceed \$350,000 in each case.

2. Since then, the enthusiasm for this project has cooled. Grants are now being further restricted to the less developed countries which could not otherwise afford such reactors, and no grants will be considered after the 30th June, 1960, when the offer terminates.

3. The universities of the Western Province are about to erect a research reactor at the Cape, and it has occurred to the Atomic Energy Board to apply for a grant to assist in financing its erection. For this reason, Dr. Schumann, the Deputy Chairman, is seeking Cabinet approval of the application, which it is proposed to submit in terms of the Union-United States Agreement on Co-operation in the Peaceful Uses of Atomic Energy.

4. Meanwhile, Dr. Roux, the Board's Research Director, who is now in Europe, has discussed the matter with Mr. Sole, the South African Chairman of the Board of Governors of the International Atomic Energy Agency in Vienna. As a result of this discussion, Mr. Sole sent a telegram to our Embassy in Washington on the 22nd April, asking for further details.

5. The Embassy approached the United States Atomic Energy Commission informally and we have this morning (4th May) received their report. The Commission has indicated that there is no hope of a grant being donated to the Union in terms of the Atoms for Peace programme, because the Union is not regarded as an under-developed country in need of

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such assistance. The whole question of an application for assistance within the framework of the President's offer therefore falls away.

6. The Commission emphasised, however, that it would be prepared to give

"sympathetic consideration to requests for assistance in other areas of the project where practicable"

i.e. it could consider applications outside the framework of the Atoms for Peace programme. The Commission mentioned, as an example, the lease of fuel for the reactor instead of the sale of fuel - a procedure which would considerably reduce fuel costs. There is no time limit for the submission of such applications, and the matter is consequently less urgent than it was.

7. There are now two possible procedures available:

(a) We could request the Embassy in Washington to ask the U.S. Atomic Energy Commission to elaborate on the phrase quoted in paragraph 6 above, and to indicate in what areas they would consider applications for assistance.

(b) We could ourselves consider in what forms assistance would be useful and draw up a fresh application accordingly. This might be discussed at the next meeting of the Atomic Energy Board on the 9th May.

It is suggested that the first of these alternatives might perhaps be tried as a first step so that we could obtain a clearer indication of the limits within which our application should be confined.

8. The question remains whether the Cabinet would consider it necessary for its approval to be extended to any such application, and if so whether it would be prepared to grant such approval in principle at this stage.

*i.e. whether
the Union
wishes to
seek United
States assistance.*

CAPE TOWN.

4th May, 1960.